School of Innovation and Management (SoIM)
Post Graduate Diploma in Management (PGDM)

Course Outline **PGDM (2024-26)** **Trimester – IV**

Course Code:	Course Name: FIXED INCOME SECURITIES	Course credits: 3

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Course Coverage:

The course on Fixed Income Securities provides a comprehensive understanding of the structure, valuation, and management of debt instruments in financial markets. It begins with an introduction to fixed income securities, explaining their features, significance, and role in investment portfolios. Students will learn about bond markets and instruments, including government and corporate bonds, along with the time value of money and bond pricing concepts essential for valuing these instruments. The course further explores yield, duration, and convexity, key measures used to analyze returns and interest rate sensitivity. The term structure of interest rates and yield curve theories are discussed to help interpret market expectations. Learners will examine various risks in fixed income investments, such as interest rate, credit, and liquidity risk, followed by an in-depth study of credit rating and credit risk management practices. The course also covers fixed income portfolio strategies, both active and passive, for optimizing risk-return trade-offs. Additionally, it introduces securitization and structured debt products like mortgage-backed and asset-backed securities and concludes with an overview of the regulatory framework and recent developments in the Indian debt markets, aligning with NISM standards and contemporary financial practices.

Course Objectives:

1. Develop a sound understanding of fixed income markets, instruments, and valuation principles.
2. Equip students with analytical tools to price bonds and manage interest rate risks.
3. Examine the structure and functioning of the Indian debt market as per NISM guidelines.
4. Understand credit risk, yield curve analysis, and portfolio management strategies.
5. Prepare learners for NISM certification and professional careers in fixed income research, portfolio management, and banking

Course Learning Outcomes:

After completing the course, student should be able to: Five points for 1.5 Credit Course and Ten points for 3 Credit Course

Assessment Tools for Learning Outcome:

Learning Outcome	Assessment Criteria
Explain the characteristics, types, and features of fixed income securities.	Identification and interpretation of debt instruments
Apply time value of money and pricing techniques to value bonds.	Numerical exercises
Analyze yield measures, duration, convexity, and their implications on interest rate risk.	Numerical exercises
Evaluate credit risk and interpret ratings for debt instruments.	Discussion
Design basic fixed income portfolio strategies and assess market trends.	Discussion
Demonstrate familiarity with regulatory and institutional frameworks governing fixed income markets in India.	Comparative analysis
Explain the characteristics, types, and features of fixed income securities.	Comparative analysis
Apply time value of money and pricing techniques to value bonds.	Numerical exercises
Analyze yield measures, duration, convexity, and their implications on interest rate risk.	Numerical exercises

Session Plan: 20 sessions of 90 minutes each, totaling 30 Hours for 3 Credit course and 10 sessions of 90 minutes of each, totaling 15 Hours for 1.5 Credit course.

Session	Topic	Key Concepts / Activities
1	Introduction to Fixed Income Securities	Overview, role of fixed income in financial markets, classification of instruments
2	Bond Market Overview	Primary vs. secondary markets, government and corporate debt markets
3	Features of Bonds	Coupon rate, maturity, yield, price, callable/convertible bonds
4	Time Value of Money	Discounting, compounding, present and future value concepts
5	Bond Pricing	Price-yield relationship, clean and dirty price, accrued interest
6	Yield Measures	Current yield, YTM, yield spread, yield to call, yield to worst
7	Duration and Convexity – I	Macaulay duration, modified duration, price sensitivity
8	Duration and Convexity – II	Convexity concept, practical application in risk management
9	Term Structure of Interest Rates	Yield curve, theories (expectations, liquidity premium, market segmentation)
10	Risks in Fixed Income Securities	Interest rate risk, reinvestment risk, credit risk, liquidity risk
11	Credit Rating and Credit Risk	Role of credit rating agencies (CRISIL, ICRA, CARE), credit spreads

12	Securitization and Structured Products	MBS, ABS, tranches, prepayment risk
13	Inflation-Indexed and Floating Rate Bonds	Concepts, pricing, inflation-linked securities
14	Fixed Income Derivatives	Interest rate futures, swaps, options for hedging
15	Fixed Income Portfolio Management – I	Passive and active strategies, immunization, duration matching
16	Fixed Income Portfolio Management – II	Yield curve strategies, credit spread strategies
17	Global Fixed Income Markets	International bonds, Eurobonds, global interest rate trends
18	Indian Debt Market Framework	Role of RBI, SEBI, CCIL, FIMMDA, and NISM guidelines
19	Recent Developments in Debt Markets	Corporate bond reforms, green bonds, ESG-linked debt instruments
20	Case Studies and Revision	Case-based learning on pricing, portfolio design, and exam review (NISM pattern)

Pedagogy

- Interactive lectures and numerical problem solving
- Case studies on bond pricing and risk analysis
- Excel-based bond valuation and yield curve plotting
- Real-world analysis using RBI and NSE debt market data
- Group projects on portfolio construction
- NISM mock tests and discussions

Recommended Textbook:

1. Fabozzi, F. J. – *Bond Markets, Analysis and Strategies*, Pearson Education.
2. Sundaram, G. – *Fixed Income Securities: Markets, Investments, and Risk Management*, McGraw Hill.
3. Suresh, P. – *Fixed Income Securities*, Taxmann Publications.
4. NISM Study Material – *Fixed Income Securities Certification Module*, NISM (latest edition).
5. Madura, Jeff. – *Financial Markets and Institutions*, Cengage Learning.
6. Choudhry, Moorad. – *Fixed Income Analysis*, Wiley Finance Series.
7. RBI, SEBI, and NSE Reports – *Regulatory and Market Updates on Debt Instruments*

Course Evaluation:

Evaluation is a continuous process at SoIM. Students will be given individual/group projects/ assignments in ----------. Keeping in line with continuous evaluation at SoIM, the evaluation scheme is as follows:

Areas	Weightage
(I) Continuous Evaluation: *(Quizzes: 10 Marks, Assignments, Group/Individual Projects: 30 Marks*	40%
(II) Mid Term Examination	20%
(III) Final Examination	40%
Total	**100 %**

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